Budgets

Exam code: 9BS0

Download PDF

Written by: Lisa Eades
Reviewed by: Steve Vorster
Updated on 1 September 2025

The purpose of budgets

- A budget is a **financial plan** that a business (or department in the business) sets for costs and revenue
  - The budget is usually closely aligned with the **business objective**

Reasons for using budgets

Reason	Explanation
Planning and monitoring	• Businesses that use budgets are actively **planning ahead** • Problems and their solutions may be considered and solved **in advance**
Control	• Frequent monitoring of budgets allows managers to **precisely control** their functional area • Budgets support the setting and review of company or department **objectives**
Coordination and communication	• Budgeting requires different parts of a business to operate as part of a **coordinated whole** • Budgets may be **communicated throughout the organisation** to provide a framework for decision-making and communication
Motivation and efficiency	• Budgets play an important role in **target-setting** and performance management, which can be used by managers to **measure success** • The allocation of budgets **spreads decision-making** across the organisation, acting as a **motivator** to the managers who control the budgets

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

- Budgets are usually **set annually** and then monitored on a monthly basis
- Businesses may set budgets to monitor the financial performance of any aspect of the business
- Budgets are generally prepared using one of two methods:
  - Historical figure budgets
  - Zero-based budgeting

Historical figure budgets

- Budgets are usually **based on historical data** (e.g. sales and costs data from previous years) and allow for factors such as **inflation** and other relevant economic indicators (e.g. **exchange rate** variations)

Zero-based budgeting

- In some cases, businesses make the decision **not to allocate budgets** and use a **zero-budgeting** approach
  - This is particularly useful when a business needs to **control costs closely** (e.g. to improve profitability)
- Zero budgeting requires **all spending to be justified**, which means that many unnecessary costs can be eliminated
  - It can be **time-consuming**, as evidence to support spending decisions needs to be collected and presented
  - Zero budgeting also **requires skilled and confident employees** to make a persuasive case to convince those who are making purchasing decisions

Variance analysis

- A **budget variance** is the **difference between the figure budgeted and the actual figure achieved** by the end of the budgetary period (e.g. 12 months)
- **Variance analysis** seeks to determine the reasons for the differences between the actual figures and the budgeted figures

Favourable variances

- A **favourable variance** is when the **actual figure achieved is better than the budgeted figure**
  - A favourable variance in a **revenue or profit budget** is when the actual figure is **higher than the budgeted figure**
  - **A favourable variance in a costs budget is when the actual figure is lower than the budgeted figure**

Adverse variances

- An **adverse variance** is when the **actual figure achieved is worse than the budgeted figure**
  - An adverse variance in a revenue or profit budget is when the actual figure is **lower** than the budgeted

Worked Example

Selected financial information for Bunsen PLC in 2022

	£m
Budgeted sales revenue	12,460
Actual sales revenue	13,718
Budgeted total costs	8,420
Actual total costs	10,627

Using the data, calculate the total profit variance for Bunsen PLC in 2022. You are advised to show your workings. [4]

Step 1: Calculate the budgeted profit for 2022

$$= £12{,}460 - £8{,}420$$ [1]

$$= £4{,}040$$

Step 2: Calculate the actual profit for 2022

$$= £13{,}718 - £10{,}627$$ [1]

$$= £3{,}091$$

Step 3: Subtract the budgeted profit from the actual profit for 2022

$$= £3{,}091 - £4{,}040$$ [1]

$$= £949$$

Step 4: Identify the nature of the variance

- In this case, the variance is adverse because the actual profit for 2022 is lower than the budgeted profit for 2022
- The correct answer is **£949** in adverse variance **[1]**

Examiner Tips and Tricks

Although the Bunsen PLC example shows an adverse profit variance, it is worth noting that the company's actual sales revenue was higher than budgeted. There could be some sales executives in the business who deserve some sincere congratulations!

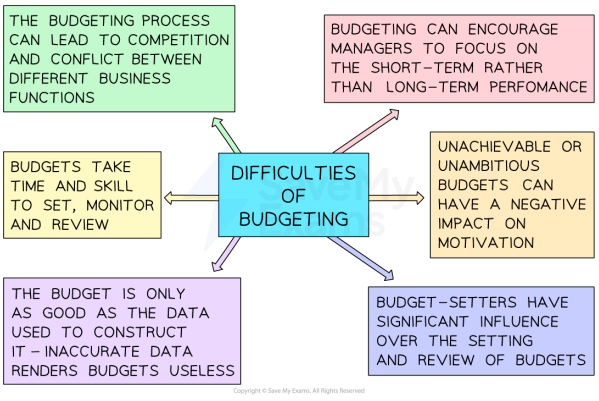
You may recommend that the business investigate the reasons for the adverse profit variance. The focus of the examination must be on the higher-than-budgeted costs rather than on this seemingly positive sales performance. You

- Once variances have been identified, a business should **carefully investigate the reasons why the variances have occurred** and take appropriate action, such as:
  - Where adverse cost variances are identified, a business may **seek alternative suppliers** or investigate ways to improve efficiency
  - Where adverse sales variances are identified, a business may **review its marketing activities** to improve their effectiveness
  - Where favourable cost variances are identified, a business may review key quality indicators such as the volume of returns or waste levels to **ensure that output standards are being met**
  - Where favourable sales variances occur, a business may **reward client-facing staff** with performance-based incentives

Difficulties of budgeting

- Budgeting requires **significant expertise** to be of genuine use to a business, and there are several difficulties associated with its construction

The main difficulties of budgeting



Difficulties of budgeting include the time and skill to set, monitor and review them, as well as unachievable budgets having a negative impact on motivation

- Data must be **up-to-date, accurate and free of bias**
  - Sources of data must be selected carefully and used with care to ensure the most appropriate assumptions are made
  - **Those who are constructing budgets will require skills and relevant experience to do so effectively**
  - This may involve training or the recruitment of specialist staff
- Budgets can encourage managers to focus on the **short-term rather than the long-term success** of the business, as budgets are usually set year to year

- **Conflict between budget holders** may arise, reducing the effectiveness of the business as a whole

Teacher only

Test your students on this in just a few clicks

- Create exam-aligned tests
- Tailor format & difficulty
- Quizzes or homework in minutes

Try Test Builder

Test yourself

Flashcards

Was this revision note helpful? Yes No

Previous

Next

Course

Study tools

All topics

© Copyright 2015–2026 Save My Exams Ltd. All Rights Reserved.
Neither IBO nor College Board were involved in the production of, and do not endorse, the resources created by Save My Exams.